ECOSYSTEM MANAGEMENT
AUDIT PROGRAM #56-00-00

The release of this audit program to parties external to IBM requires the written approval of the Chief Auditor.

This program is intended as a guide for assessing risk management in this process through the performance of an audit or a similar engagement. Risk management is the process to identify, manage, and control potential events in order to provide reasonable assurance related to the achievement of IBM's business and control objectives. IBM's control objectives fall into five broad categories:

1. compliance with external laws and regulations, as well as IBM policies and procedures
2. accomplishment of business objectives
3. reliable information for financial reporting and decision making
4. efficient operations, and
5. safeguarding both intellectual and physical assets.

The control assessment questions are intended to address process objectives from the categories above and the risks to achieving those objectives. Objectives and risks in the actual process under review may differ based on organizational, operational, regulatory, and economic factors. As such, individuals performing the engagement must formulate a test strategy based on risks relative to the actual process under review, regardless of whether the risks are identified within this program.

DATE CHANGED	SECTION #	SUBTITLE IN SECTION	CHANGED BY (NAME)	COMMENTS
September 2025	Planning	Audit Program Risk Alignment	CA&AS Ops	Changes to audit risk levels from recent revalidation
October 2024	CA007.S, Data Analysis, RAE, CA003.P, RR001.P (Title update only)	Multiple	Cathy Romano	Removed specific data privacy section and incorporated data privacy throughout the Contract section. Added co-marketing to the Data Analysis section. Align RAE to Audit Program & IDR. Added control question for Transaction Agreement Fees. Removed Cost from Revenue Recognition Title.
January 2024	ALL	All	Cathy Romano	Updates made to numerous sections based on input from FBC, RMC, and Process Owners; process name changed from Partner Ecosystem Management
February 2023	All	All	CA&AS	Converted from Notes into a Word document and into a Box folder

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PROCESS AND OBJECTIVE

This internal audit program is intended as a guide for performing an audit of processes and sub processes associated with ecosystem management.

A Business Partner (BP) is defined as an external company that participates in an established IBM program with a contracted relationship in one of the three sales motions; build, sell, and service to promote, or proactively influence the sale of IBM products, offerings, and services. For this service, the BP receives use of the Business Partner emblem and/or compensation such as fees, discounts, or other compensation and/or access to other resources, e.g., technical, software, marketing assistance, leads on end-user sales.

After the appropriate scope areas have been determined, the control assessment questions should be answered by conducting the primary tests. Auditors must understand the audited unit's objectives and the risk to those objectives. In addition, process flows, control points, and documentation should be scrutinized to determine if risks have been sufficiently considered. Also, determine if changes to this audit program are required to adequately assess the control posture of the process.

Note that the scope of this program does not include any processes uniquely associated with relationships established through Procurement, i.e., Subcontracted services, or hardware and software Original Equipment Manufacturers (OEM).

The program is applicable to all types of field-based Business Partners (BPs) previously identified in the definition of Business Partners. These may include, but not limited to: (1) discount-based BPs, (2) fee-based BPs, (3) Influencers, (4) Second Tier Business Partners. Discount-based BPs are typically referred to as distributors, resellers, Tech Brokers, Tech Partners, solution providers, Third Party Marketplaces, or system integrators, after purchasing products from IBM at a discount, they sell a solution to an end-user customer or business partner. Their profit is derived from the margin they add to the price when they bill the end-user. Fee-based BPs are typically referred to as complementary or marketing support BPs. Their profit is derived from the fee paid to them by IBM for assisting in the sale of products to end-users. Influencers typically do not fulfill product to the end-user community but influence the sale of product to the end-user from either IBM or another Business Partner. Second Tier Partners source product from a distributor or other authorized BP source. They may or may not have a contract depending upon whether the channel has defined second tiers as being closed distribution (meaning the second tier must buy product from only one specified distributor--like in the US), or open authorization (meaning the second tier can buy from any distributor-- like in EMEA).

The end-to-end Business Partner process is composed of the following process risk areas: Business Partner Selection/Revalidation/Termination, Contracts (including Data Privacy), Disbursements, Revenue Recognition, Separation of Duties, Escalation Management, and Concessions. Each of these areas is covered by this audit program. When performing audits of business partner management, consideration should be given to any new acquisitions, where the transfer of business has occurred. Ensure that you understand whether there has been any transfer of business activity related to business partners during the audit period.

PLANNING: Audit Program Risk Alignment

Ecosystem Management

Defined Risk Area	Audit Risk Level	Key Control Question	Test Number
Contracts (including Data Privacy)	High	Contracts, Data Privacy	CA001.P, CA002.P, CA003.P, CA004.S, CA005.P, CA006.S
Disbursements	High	Disbursements	DI001.P
Recruitment, Revalidation, and Termination	Medium	Business Partner Selection, Data Privacy	PS001.P, PS002.P, PS003.P
Revenue Recognition	Low	Revenue Recognition	RR001.P
Escalation Management and Concessions	Low	Escalation Management and Concessions	CM001.P
Separation of Duties	Low	Separation of Duties	SO001.P

PLANNING: Data Analysis

Data analysis should be a part of every engagement where data is available in databases or data warehouses that can be accessed through query programs. This concept enhances the risk-based auditing approach, makes the audit process more efficient, and increases the productivity of the audit team. When the audit team does not have the skills required to perform these tasks, assistance should be sought from the Technology team.

All data used for analysis must be reconciled to an independent source so that the auditor has confidence that the universe is complete.

The Data Analysis engagement procedures in the Audit Manual (link internal to CA&AS members only) provide further suggestions.

This table shows what data can be reviewed and analysis techniques.

Data to be Analyzed	**Analysis to be Performed**	**Possible Anomalies**	**Concern**
Access control list of repositories of Ecosystem Management processes.	Access level setting of the repositories.	○ Accessible by any IBM employees ○ Employee(s) who retired from IBM or transferred to new position and who no longer has business need but has access.	Inappropriate access and disclosure of IBM confidential information.
Revenue accruals	Justification for the sampled revenue accruals.	Unjustified or premature revenue recognition.	Inaccurate financial records.
IBM revenue from BP transactions	Channel id(s) involved in a sales record.	○ Orders with multiple channel ids. (Potential flip of order to BP from the direct channel without proper justification) ○ Orders without channel id. (Need to find out the reason) ○ Revenue reversal without the associated revenue entry. (Need to find out the reason)	Involvement of multiple channels in a sales record might mean there were flipped order(s) to BP from the direct channel without justification that did not go through the defined review process. This could result in channel stuffing.
Co-Marketing Claims	Identify abnormal claims where there are potential fraud risk indicators.	○ Hidden relationships ○ Duplicate claims / split claims ○ Excessive cost vs other similar claims ○ Partner track record (rejection for claims, E/R or ROI on claims)	Leakages from invalid or fraudulent claims

PLANNING: Data Analysis (Continued)

Data to be Analyzed	Analysis to be Performed	Possible Anomalies	Concern
Approved special bids	Consider criteria for data analysis as follows: ○ Quarter End Special Bid Transactions ○ High Value ○ Deep Discount (>=95%) ○ Multi-tier transactions ○ Open tender (RFP) ○ Repeated violators (obtain from BPC) ○ Shipped but not installed ○ Transaction Agreement ○ New BP ○ Part of BPC sample ○ Returned machines	○ Special bid pricing and product content not matching to fulfillment. ○ For end user verification sample testing: actual channel and end user pricing greater than the amounts approved in the special bid requests. (only applicable if EUV being conducted)	○ Inaccurate or incomplete product and pricing being fulfilled which differ than approved special bid request. ○ For end user verification testing: channel and end user pricing transacted externally greater than approved in special bid requests. (only applicable if EUV being conducted)

PLANNING: Reference Material

End user testing should generally not be included, but an end user testing option can be considered, based on observed compliance level/risk. Regardless of scope, internal audit Ecosystem Management audits must be preannounced at least 6 weeks prior to kickoff. If applicable, end user issues will be highlighted to the CA&AS Third-Party Compliance Audit team.

Please read and understand the requirements when considering end user verification testing of business partner transaction documents which are also included in this database. As this test area requires issuing of samples prior to audit opening conference wherever possible.

Ecosystem Management Web Page
https://w3.ibm.com/w3publisher/ibmsaleszone/ibm-ecosystem

Contains links to:
- Motions & Key Supporting Programs
- Strategic Partners
- Key Programs & Resources
- Ecosystem Stories
- Skills
- Engage

Relevant Accounting Practices

https://w3.ibm.com/w3publisher/accounting-policy-financial-reporting
- AP09: Revenue Composition, Recognition, and Recording
- AP21: Sales with the Right of Return
- AP32: Accounting for Dealer and Agent Transactions

Related GAAP

- SFAS No. 48 - Revenue Recognition When the Right of Return Exists
- SEC SAB 101 - Revenue Recognition in Financial Statements - http://www.sec.gov/interps/account/sab101.htm

Other
If applicable, review if General Data Protection Regulation (GDPR) requirements were deployed, controls were in place, monitored and reported. Useful links:
GDPR Readiness: https://www.ibm.com/data-responsibility/gdpr/#4

Data Security, Privacy & Regulations Functions: **https://w3.ibm.com/ibm/privacy/**

Corporate Instruction FIN 182: Management Self-Assessment of Control
https://w3.ibm.com/ibm/corporate-documents/fin/fin-182

Corporate Organization Letter 125T: Delegation of Authority - Terms and Conditions of Contracts for Products and Services**: https://w3.ibm.com/ibm/corporate-documents/corporate-directives/corporate-organization-letters/col-125**

PLANNING: Fraud Template

Fraud is any intentional act or omission designed to deceive others and resulting in the victim suffering a loss and/or the perpetrator achieving a gain. Fraud can be categorized into fraudulent financial reporting, misappropriation of assets, and improper or unauthorized expenditures.

Description of Fraud Risk	Typical Controls that should Detect the Fraud Risk	Testing Approach
Undisclosed profit and route to market tier(s), and improper payments - misrepresentations of special bids	Special bid process controls Business partner compliance review testing	Test special bid process is followed Validate the effectiveness of business partner compliance testing Confirm the risk associated with the country being audited and perform testing to determine whether business partners adherence to special bid terms, if deemed appropriate: o Business Partner Enhance Risk Assessment (ERA) o Investigation history in Internal Audit Confirm validity of documents through testing
Improper payments - disbursements	Disbursement controls Controls for incentives, co-marketing, and development programs	Validate that programs are only operating in accordance with those allowed based on ERA Test high risk disbursements for incentives, marketing programs, and development funds Validate that all programs are properly approved, and goods or services were provided Review Proof of Performance for co-marketing claims and that validation of engagement was obtained prior to reimbursement and this was sufficient. (Invoices came from companies not individuals, were itemized and appear to be official)

PLANNING: Fraud Template (Continued)

Description of Fraud Risk	Typical Controls that should Detect the Fraud Risk	Testing Approach
Revenue manipulation - firm order or transaction management	Firm order or transaction controls Control of flips Revenue Controls	Verify investigation history of other identified control or fraud issues for country related to revenue Validate flip controls from direct to indirect at month-end or quarter-end Validate firm order controls are operating as expected for the country. Confirm secondary controls around firm order confirmation and firm transaction management.
Revenue manipulation - pass thru or round trip	Revenue controls	Review procurement files for situations where we are purchasing hardware, software, and services from business partners. Sample to validate that for hardware or software these are not products previously sold by IBM. For services, validate deliverable(s) were completed and accepted.

Note: The probability and impact will vary depending on the organization/business unit that is being audited.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 1. Business Partner Recruitment

Objective:
To determine if an effective process for establishing Business Partner (BP) relationships had been defined, documented, and followed. Also, to determine if the business results of Business Partner relationships were monitored so that informed payment/revalidation/continuation/termination decisions could be made.

Approach:
Determine if the process documentation for Business Partner selection and renewal supports and reflects the following standards:

- Was there validation that the candidate was a legitimate, established, financially qualified entity?
- Were the duties appropriately separated for employees involving in qualifying and approving the business partner relationship?

Risk/Exposure:
A defined and documented review of potential Business Partners is essential to determine if the relationship is a good strategic business decision. Failure to execute a consistent BP selection and revalidation process could result in the unintended ("automatic") continuation of a BP relationship that is not in IBM's best interest to continue, resulting in Partner relationships that do not achieve business objectives, expose IBM to claims of inequitable treatment of candidates and other Business Partners, as well as issues and violation of regulations and legislation such as anti-competitive legislation like the Robinson Patman Act (US), jeopardizing IBM assets, or damage to IBM's image.

Note: When reviewing this area, also ensure that you understand whether there have been acquisitions who use business partners, that have completed vetting during the audit period. Validate that any business partners have been fully integrated into the IBM process, and that they are being handled consistent with IBM guidelines and process control requirements. For exceptions, validate that there is approval by the global business partner organization, and that controls are in place to mitigate associated risks.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 1. Business Partner Recruitment
Primary Test: Documented Review and Approval (PS001.P)

Note: SOX control point 510 and supplemental testing guidance provided through the link in the reference section of the audit program.

Objective:
To determine if the process had been defined, documented, and followed for ensuring thorough review of candidates applying to become IBM Business Partners prior to approval of their submitted application or proposal and presentation of a contract (Agreement) to them for signature. In addition, to determine if the review process included adequate separation of duties between employees authorized to perform recruiting (or sponsoring) activities and employees authorized to approve candidate applications or proposals.

Global business partner recruitment processes give clear guidelines on the approach to business partner selection and approval, and key documentation that should be retained during the process. You should ensure that this process is implemented in the geography that you are auditing. Business Partner Instruction BP09 - BP Application Instruction applies.

Documented Review and Approval - Ensures a) selection criteria and requirements for all new BP's are documented and approved prior to selection of new BP's, and that BP's are qualified against the documentation requirements; b) BP's are tested for Business Viability/Vetting prior to their approval; c) consistent approval/rejection of BP candidates and that the decision has been documented and approved, if required, by an individual who is delegated to do so rather than a person who is involved in sponsoring or recruiting the BP; and d) notification to the BP of final decision.

Approach:
Review and confirm that the defined process was followed, ensure that all required reviews and approvals occurred and were documented.

Was the defined process followed, ensuring that all required reviews and approvals occurred and were documented?

Was a credit assessment performed by Credit team or the local geographic IBM leasing arm (or another IBM department authorized to perform credit assessments) for all business partners who source products directly from IBM and must pay for these products? (Certified financial statements may have been required for the credit assessment. If so, determine if they were properly filed and reviewed. Also, determine if the process documentation makes it clear which types of candidates require which kinds of credit reviews and which kinds of supporting statements).

Were export compliance requirements adhered to? (Determine if all candidates were checked against the Denied Parties Listing (DPL) before approval. If specific documentation was not kept demonstrating that DPL screening was performed, conduct a test to have the responsible person demonstrate the process that was used. The responsible person should be able to query the current DPL listing and demonstrate familiarity with the screening criteria).

Was appropriate separation of duties (SOD) conducted to assure that those individuals who were authorized for the sponsoring or recruiting of potential candidates did not also have authorization to approve candidates for selection? Was the person who approved, accurately shown on the SOD assessment and were there no conflicts? (Note: Although an approval is not required to recruit a tier 2 BP candidate, qualification still needs to be evaluated based on the established process at the time)

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 1. Business Partner Recruitment
Primary Test: Documented Review and Approval (PS001.P)
(Continued)

Did business partner candidates complete an application where individual required to identify its most senior leadership (i.e., Chief Executive Officer, Chief Financial Officer, and Sales Director(s)), > 5% owners and "ultimate parent"? Also, did the business partner candidates provide information on Government ownership or control, Government entities (through current / former Government employment, familial or other connections), IBM connections (e.g., through owners as IBM BPs), and unethical conduct?

Were all required checks performed on the business partner candidates, e.g. on senior leadership, >5% owners, and ultimate parent based on disclosed in the application against applicable third-party vetting search tools (BvD). Note: BVD check included check of COMPi and KYC+ DPL.

Were the proposed Business Partners checked against the Competitive Information database (COMPi) maintained by the Ecosystem Risk Management and Controls team which included the Unapproved Supplier List (USL) maintained by Global Procurement?

Was additional legal advice or business intelligence information used, if available, to determine if prior relationships had been established and/or terminated between IBM and the principals associated with the candidate firm? (For example, were principals of the potential BP firm former Business Partners? are they former or current IBM employees? were there circumstances associated with former relationships that were relevant to the review of the application?)

Was a question asked to validate that Principals / key employees of the Business Partner did not have a criminal background or a history of litigation?

Was a question asked to help determine if the principals and key employees (those that exercise discretionary management control over the relationship with end-user customers) to determine if they are current IBM employees or former IBM employees released for cause?

Was the business partner notified of the final decision? (For positive outcome a contract is sufficient.) o Were all actions completed and approved prior to offering a contract to the business partner?

Confirm that the organization is complying with the related business partner advisory instructions in relation to approval such as Global Business Partner Management Instruction BP09 - BP Application Instruction and Appendix A - D.

Did business partner complete the required integrity training course(s) (Anti-Competition, Anti-Bribery, Firm Transaction Management, Financial Integrity, Route to Market, and Reporting Violations) as part of on-boarding and revalidation processes? Did employees of business partners, in required countries, who devote 25% or more of their time to IBM sales complete the required training course? Note: Some limited exemptions available (e.g., if an employee of business partner has attended an IBM Integrity Summit in the last six months, do not need to do on-line training course).

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 1. Business Partner Recruitment
Primary Test: Ongoing Review of BP Relationship (PS002.P)

Note: Operational control point KCO 501 and supplemental testing guidance provided through the link in the reference section of the audit program.

Objective:
To determine if the process had been defined, documented, and followed for ensuring an appropriate level of monitoring and management of Business Partner compliance with the revalidation process. Based on such reviews, were relationships ever renegotiated, terminated, or otherwise not renewed?

Global business partner revalidation processes give clear guidelines on the revised approach to partner revalidation, and process steps and key documentation that should be retained during the process. You should ensure that this process is implemented in the geography that you are auditing. Business partner advisory instruction BP10 - BP Revalidation Requirements applies.

Ongoing Review of BP Relationship - Ensure that periodic reviews (should not exceed a 24-month period) of business partners are performed to determine if the BP has been in compliance with the key terms and conditions of their contracts with IBM and that appropriate management review and approval is obtained, including exceptions, for renewal or termination.

Approach:

- Confirm that the organization is complying with the revalidation requirements stated in Business Partner-Instruction BP10 - BP Revalidation Requirements applies.

- For nonstandard type agreements, request the unique measurement requirements as stated in the contract. Ensure data privacy requirements are included. Understand the requirements and the required validation of the measurements.

- Failure to ensure compliance to BP10 could result in the unintended continuation of BP relationship that is not in IBM’s best interest to continue, resulting in damage to IBM’s image

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 1. Business Partner Recruitment
Primary Test: Ongoing Review of BP Relationship (PS002.P)
(Continued)

- Test the selected samples against the monitoring principles in the process documentation. Determine what percentage, if any, were out of compliance with the following:

    - Were quarterly reviews of other types of expiring contracts performed? (This would apply to relationships not covered by a standard business partner agreement. Generally, all agreements with BPs must either be standard or follow the Custom Growth Investment custom process. Business Partner agreements that have an evergreen clause and do not expire unless overt action is taken.) Did decisions to renew or terminate relationships give appropriate weight to these reviews? Were they supported by documented approvals from personnel properly authorized to give such approvals?
    - If BP did not meet the established revalidation criteria and a decision to retain the BP was made, was this exception approved?
    - Did BP submit an updated questionnaire which is a bi-annual requirement?
    - Did re-vetting of existing business partner based on new questionnaire data run against the third-party vetting solution (BvD), which includes a check of COMPi and KYC+ DPL?
    - Were negative applicable responses and diligence results reviewed with Legal? Were the records of vetting maintained?
    - Did business partner complete the required training course (Anti-Competition, Anti-Bribery, Firm Transaction Management, Financial Integrity, Route to Market, and Reporting Violations) as part of revalidation process? Did employees of business partners, in required countries, who devote 25% or more of their time to IBM sales complete the required training course? Note: Some limited exemptions available (e.g., if an employee of business partner has attended an IBM Integrity Summit in the last six months, do not need to do on-line training course.)

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 1. Business Partner Recruitment
Primary Test: Terminations (PS003.P)

Note: SOX control point 519 and supplemental testing guidance provided through the link in the reference section of the audit program.

Objective:
To determine if the process was being followed and that the risks were being managed at an acceptable level. This is accomplished by determining if the process had been defined, documented, and followed for ensuring that decisions to terminate or otherwise not revalidate Business Partner relationships were made by authorized personnel following review of appropriate information. Also, determine if further actions were necessary and taken to protect IBM and end-user interests.

Terminations - To ensure:
a) the termination of a business partner is handled properly, including the involvement of all affected functions within IBM (including Legal),
b) in the termination decision, there is an independent review of the results of the business partner's performance reviews (if applicable),
c) there is a timely notification to the business partner regarding the termination,
d) recovery of any IBM assets held by the business partner, including the resolution of any outstanding accounts receivables prior to termination,
e) deactivation of the business partner from any systems, databases, or access to IBM facilities, resulting in a proper and timely close-out of the BP relationship.

Note: Items under “d” and “e” are under the responsibility of the involved IBM teams who are executing these processes.

Approach:

- Request the criteria for deciding to terminate Business Partner Agreements and the procedures to be followed to administer the terminations fully.

- Review a risk-based sample of the Business Partner Agreements which were allowed to expire or were otherwise terminated during the previous quarter. Determine what percentage, if any, were out of compliance with the following standards:

    - Was the business partner officially notified that the relationship was being terminated (if the termination was not initiated by the business partner)?

    - If fee payments or marketing incentives were applicable, were accounts receivable status verified prior to issuing payments or marketing incentives?

    - Were checks made and actions taken for end-user customer business pending with the terminated business partner? (For example: new orders to be entered, existing backlog to be managed, recent shipments to be installed, outstanding opportunities, etc.)

    - Was there evidence that Accounts Receivable was notified of the termination notice and that the collection activity was coordinated in the termination process?

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 1. Business Partner Recruitment
Primary Test: Terminations (PS003.P)
(Continued)

- Were documented "wind-down" procedures followed to resolve all pending business transactions with the terminated business partner (including order cancellations and/or shipments; billing and/or accounts receivable)?
- Were open inventory issues (outstanding RPMES parts returns) reviewed and reconciled?
- Were facility access privileges (including badges) reviewed and, if granted, revoked?
- Were system/application access privileges reviewed and, if granted, revoked?
- Were database administrators notified to remove the business partner

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 2. Contracts

Objective:
To determine if the process for managing Business Partner contracts had been defined, documented, and followed, with emphasis on the following questions: Were properly approved contracts in place to support all business partner relationships? Were nonstandard terms and conditions properly reviewed and authorized to ensure data privacy and overall protection of IBM and business partners is addressed. For business partners with nonstandard agreements, were changes to the contract, supplement, or business partner development plan approved by the global or local legal or equivalent and include data privacy clauses? For business partners, were the most current worldwide modular Business Partner Agreement documents used (appropriately modified by the country within the boundaries of its delegated authority)? Were there unapproved commitments made to the business partners that altered the contracts without proper approvals ("side deals or commitments")?

Approach:
Since the foundation of the Business Partner process is the standard Business Partner Agreement released by Global Contracts and Practices, determine what process procedures exist to ensure that only current and accurate contractual documents are used to establish and transact business with business partners. Remember that these documents must be appropriate for the specific Business Partner relationship, enabled for use in each particular country, and executed in writing only after the securing of required approvals. For business partners with nonstandard agreements, ensure that only properly approved contracts that contained fully defined initiatives, incremental revenue, and payment parameters, were in place. Since nonstandard contracts contain unique terms and conditions often involving revenue reversal, appropriate approval and adherence to the Revenue Reversal rules apply.

Risk/Exposure:
Missing, outdated, or improperly approved contractual documents increase the risk of inconsistent treatment of business partners and expose IBM to allegations of unfair business practices; increase the legal risk of business partners with nonstandard agreements, and also makes it difficult to enforce critical terms and conditions of the relationships and could therefore lead to inefficient use or loss of assets (including losses associated with copyright, licensing, or intellectual property clauses). Customer satisfaction exposures, impacting overall BP marketing strategies, may also result from a failure to secure, protect, and enforce key provisions in the contractual documentation.

Risks involved with business partners with nonstandard agreements may contain violations of regulations or legislative requirements such as the anti-competitive laws in the Robinson-Patman Act (in the US) and accounting regulations involving revenue reversal vs expense spending.

Note: When reviewing this area, also ensure that you understand whether there have been acquisitions who use business partners, <u>that have completed the transfer of business</u> during the audit period. Validate that any business partners have been fully integrated into the IBM process, and that they are being handled consistent with IBM guidelines and process control requirements. This may include migration of the business partners to IBM contracts. For exceptions, validate that there is an approval obtained by the global business partner organization, and that the controls are in place to mitigate the associated risks.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 2. Contracts
Primary Test: Enablement and Deployment of Standard Agreements (CA001.P)

Note: SOX control point 511 supplemental testing guidance provided through the link in the reference section of the audit program and 142 additional information for ESA contracts

Objective:
To determine if the process for enabling and implementing standard Business Partner (BP) contractual documents (the Agreement and its addenda) had been defined, documented, and followed; and to further determine if such enabled or established contractual documents were properly administered, with emphasis on the proper authorization of any potential deviations to contractual terms and conditions.

Enablement and Deployment of Standard Agreements - a standard Business partner agreement has been developed by Channels, Legal and Contracts and Negotiations (C&N) for use globally for all BP relationships. The basic agreement is the same globally with properly approved contract exhibits or amendments added, where required. The IBM approval of the contract should ensure no unauthorized changes have been made. Where an individual change is made for a unique circumstance, C&N, Legal, and Country BP lead must approve the change. Depending upon the change, additional approvals may be required, e.g., payment terms would need to be approved by accounting for revenue recognition implications.

Approach:

- Understand how all relationship agreements (including any related addenda documents which might be needed to create a full contract) was enabled for use in the audit client's country. Also, understand the process and related controls for creating and approving nonstandard agreements. The audit client, or someone from an organization supporting the audit client, should be able to describe specific elements of the standard template that must be modified for use in the country (for example, the profile document for a specific Business Partner type, or country-unique brand exhibits). The process should include the control point for ensuring that the most current version of a document is made available for use (and that the likelihood of unintentionally using an obsolete version is minimized).

- Understand how a Change Management process for BPs was used to control requests for deviation to the standard terms and conditions contained in the enabled contractual documents.

- Nonstandard contracts with BPs increase the risk of inequitable treatment and increases the risk of negative impact to IBM's image (compliance with laws and regulations). Also, nonstandard contracts (not authored by C&N) increase the risk that certain aspects of the relationship are not adequately documented and therefore puts IBM at higher risk of asset loss (safeguard of assets) and data privacy exposure. Also, IBM cannot record revenue without a properly approved contract.

- Review measurement package and the compliance testing performed, including sample selection methodology, number of transactions tested, testing results, and findings and related actions plans. Consider the results of the compliance testing during sample selection for the audit. Evaluate whether management's testing covers adequate risk in the process and local business environment.

- Review a representative sample of the Business Partner Agreements executed within the audit period. Determine what percentage, if any, were out of compliance.

- Is there a properly approved application or other authorizing document to issue the contract?

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 2. Contracts
Primary Test: Enablement and Deployment of Standard Agreements (CA001.P)
(Continued)

- When the contract was assembled and signed, was the most current version of the standard worldwide contract enabled for the country used?

- If the standard worldwide contract required country modification before it was enabled, were the appropriate modifications made before contract presentation and acceptance?

- If the country made non-delegated modifications to the standard worldwide contract, were the modifications approved via Change Management procedures in place?

- If the standard contract was prepared but then signed and accepted with modifications, were any accepted modifications reviewed and approved by either Contracts and Negotiations or IBM Legal as well as any related organizations? There is a delegation grid maintained by C&N that details who must approve which type of changes. Certain changes have revenue recognition impacts and must be reviewed by accounting.

- Did the pricing in the standard contract match the standard pricing for similar business partners of that type? (For example, were the discount percentages on the exhibit the same as those on exhibits for other business partners of that type?) If discrepancies were identified, were they supported by Special Bid or other pricing exception approvals? Were any such modifications reviewed and approved by either Contracts and Negotiations or IBM Legal?

- Are all signatures traceable to an individual authorized to sign such contracts? Check with local legal on who can accept contracts on behalf of IBM.

- Are all appropriate contract addenda (attachments, exhibits, profiles, etc.) linked and referenced to the base Business Partner Agreement to ensure accurate representation and enforceability of the full contract? Are all nonstandard documents properly reviewed and approved by C&N to avoid side deals and revenue recognition issues?

- Was the work transacted against this contract performed only after contract acceptance? (A test can be constructed to identify all shipments, or specific payments or billings prior to the contract acceptance date.)

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 2. Contracts
Primary Test: Special Bids (CA002.P)

Note: SOX control point 411 and supplemental testing guidance provided through the link in the reference section of the audit program.

Objective:
To determine if process controls for the review and approval of Special Bid requests had been defined, documented, and followed, with emphasis on the compliance of pricing decisions to authorized functional delegations and the equitable treatment of business partners involved in a bid. Also, to determine whether the business partner accurately represented both the route to market and end user price requirements in the special bid and then complied with the terms of the special bid by ensuring that the products were delivered to the identified end-user at the correct time and price.

Approach:
Pricing: Determine if the process was being followed and that risks were being managed at an acceptable level. Request the documented Special Bid process as defined by the relevant country's pricing organization, including the delegation documentation which defines authorizations and approval clip levels. The approach should consider if the special bid has adequate supporting documentation, proper approvals, and that orders under the Special Bid Offering (SBO) were fulfilled as approved.

Note: For external document testing during end user verification: IBM’s contract with its business partners (Business Partner Agreement) requires that partners provide documentation “promptly “upon IBM’s request. Historically, partners have been given two to six weeks (depending on size and complexity of the review) to provide documentation. Additionally, partners are given up to two weeks to provide additional documentation that could mitigate any potential non-compliant findings after the initial review of their submitted documents. Internal Audit has been asked to respect these timelines which are intended to maintain good relationships with these partners and not be impactful to their business. Accordingly, it is recommended to select end user verification samples two to four weeks prior to the opening conference.

Also, prior to end user sample issuance, the ATL needs to consult with geography TCO leader and ensure if the partner is subject to any partner privileged activity. If this is the case, such partner is to be descoped.

Compliance: For the validation of compliance by business partners with special bid terms, this test should be carried out in conjunction with another test - Other Special Contracts (CA004.S).

Review Ecosystem Management Compliance measurement package which summarizes results of external compliance testing of IBM business partners as performed by the CA&AS Third-Party Compliance Audit team and communicates information as to the number of transactions tested, testing results, and actions taken with partners for non-compliant findings, as approved by Partner Ecosystem Leadership Review (PELR). Consider the results of the compliance testing during sample selection for the audit. Evaluate whether management's testing covers adequate risk in the process and local business environment.

- Select samples of special bids under which orders were placed by the business partners where the shipments were made. Sample selection should focus on those transactions which exhibit certain characteristics of risk flag indicators for potential manipulation of the special bid process. Risk flag indicators include but are not limited to SBO transactions with shipped but not installed **(SNI)** machines; quarter-end SBO creation, completion, and shipment; and special bids with business partners previously investigated.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 2. Contracts
Primary Test: Special Bids (CA002.P)
(Continued)

Review the following attributes:

- Was the customer requirement (competitive need) for special terms or pricing justified with supporting documentation? The SBO should be submitted by the business partner and include the name of end user and anticipated end user price for certain products. (The reason for requesting the end user price is to ensure that pricing has valid information to make a pricing decision. End user price is also required to help CA&AS Third-Party Compliance Audit team validation through BP post transaction audits that the price did not exceed the IBM MEP.)

- Were all approved prices within the limits authorized by the documented delegations, and if not, were additional approvals required and documented?

- Were validity periods (expiration dates) for approved bids honored? Were bids, if any, executed beyond these periods supported by additional authorized approvals?

- Did the bid price approved equal the price communicated and billed to the business partner? (Be alert of situations where business partner is given a special bid, but then is given an even deeper discount (**via “bid** repair”). Ensure the bids being reviewed are the final bids.)

- Is each business partner's participation in the SBO route-to-market justified? Is each business partner providing additional value to the route-to-market? (Extraneous business partners could be used to pad channel margins.)

- Was quantity ordered in line with what was approved in the special bid?

- Was the globally approved standard SBO addendum used? If not, were applicable reviews and approvals obtained?

- Was the price indicated in the end user PO equal to or lower than the approved end user price in the special bid for the components sold to the customer? If the price in the end user PO was higher, make Third Party Compliance Audit team aware to handle as appropriate.

NOTE: Q2C has the following visibility:

  - DSW SW - the only process that states End user PO needs to be provided is the Pre Order Price Verification process.
  - DSW HW - Q2C requests and has visibility of EU PO for BP deals just for high risk countries and non-ERM countries, based on the FTM process, find details here: https://w3.ibm.com/w3publisher/ibm-business-partner-business-controls/bp-processes-instructions/bp-instructions

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 2. Contracts
Primary Test: Special Bids (CA002.P)
(Continued)

- Was there evidence of prohibited side deals (unauthorized alterations to the terms and conditions of accepted contracts)? (Evidence is sometimes found in inappropriate accounts receivable write-offs, requested disbursements outside of contractual terms, additional discounts, extended payment or warranty terms or extended returns provisions. If these actions occur, discuss with management if investigation or Legal action is necessary.)

- If contract terms and conditions were modified for a single Business Partner for a specific customer transaction, were such changes approved? Are there special approvals for this? For example, by WW BP, C&N, Legal? There are common documents and the approval requirements which are noted on the IBM Contract terms website. https://w3.ibm.com/w3publisher/global-contract-negotiations

- For customers identified as Government entities in the HW and SW bid tools, were the bids sent to the Bid Risk Evaluation Tool (BRET) and was the bid handled properly according to the GOE Special Bid Enhanced Review process?

- Please note that a process may be in place by the organization to accommodate end user changes. For example, end users are allowed to transfer software licenses to other end users under the same company, including special bid transactions. In addition, end user renaming is allowed for hardware. If the organization utilizes such transfers, ensure a process is in place and adhered to for how these transfers take place, and how it is validated that the old end user no longer has accesses to the software or hardware.

END-USER VERIFICATION** An agreement was reached between CA&AS Internal Audit, global Ecosystem Management, and Third Party Compliance audit to eliminate end-user testing except if issues surface that require further testing.

Where the risk indicates it is appropriate to select a risk-based sample of special bids and obtain information through the CA&AS Third-Party Compliance audit team to validate that the special bid terms and conditions were observed. Depending upon scope of the review, select a sample of hardware, software, and maintenance special bid transactions based on risk flags and include the following:

- Hardware brands: power, storage, mainframe (aka IBM Z)
- Software products: new licenses and renewals, Software as a Service (SaaS) - Maintenance deals: prepaid and recurring (e.g., annually paid multi-year maintenance contracts)
- Quarter-end and Year-end transactions shipped or billed in last two weeks of the quarter.
- Transactions with incentives containing "trust elements" (e.g., maintenance sold with hardware)
- Highest dollar government end-user transactions
- Top revenue for special bids (largest sales transactions in review period)
- Deepest discount percentages (where available)
- ESA contracts purchase commitment reconciliation.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 2. Contracts
Primary Test: Special Bids (CA002.P)
(Continued)

Verify same test attributes referenced in CA005.P (Ecosystem Management Compliance Reviews).

If a partner claims to have a nondisclosure agreement (NDA) or other confidentiality obligation that precludes them from sharing end user documentation, then the auditor will need to work through the geo compliance team to request:

- Proof of the NDA or obligation
- Partner to ask end customer to waive the NDA for purposes of an audit (with IBM on copy)
- If customer does not support waiver of the NDA, discuss with Compliance if IBM should consider sending the customer information about the approved maximum end user price.

Determine that all end users known to IBM are screened against IBM's Denied Parties List (DPL), and that end users in countries of proliferation concern are also reviewed for indications of involvement in nuclear, chemical & biological, guided missile technology, and military activities prior to the sale and distribution of IBM hardware and software products to them. Specifically, all end users known to IBM as part of the special bid are checked against the Denied Parties List (DPL), and end use/end user screening is performed for end users in “countries of proliferation concern,” as required in USERP Section 4 Parts 1 and 2.

- Written procedures are in place describing how and by whom DPL and proliferation screening (when required) is done.
- Sample testing confirms that all required screenings are correctly executed before a special bid was approved.

Note: Countries of Proliferation Concern; Afghanistan, Armenia, Azerbaijan, Bahrain, Cambodia, China, Egypt, Georgia, Iraq, Israel, Jordan, Kazakhstan, Kuwait, Kyrgyzstan, Laos, Lebanon, Libya, Macao, Moldavia, Mongolia, Myanmar (Burma), Oman, Pakistan, Qatar, Saudi Arabia, Taiwan, Tajikistan, Turkmenistan, Ukraine, United Arab Emirates, Uzbekistan, Venezuela, Vietnam, Yemen.

In select high-risk audits, the following additional tests may be considered:

- Obtain a list of SBOs for which the end user transaction was financed by IBM Financing Confirm receipt of first installment from the end user. Determine whether the financed amount matches the end user price requirement reported by the business partner. If the financed amount is greater than the required end user price, then investigate whether the business partner charged a higher price to the end user, therefore misrepresenting the end user requirements on the special bid application and causing IBM to grant a deeper discount than necessary.

- To determine if business partners were treated equitably in open tender bidding situations in requiring letters of authorization. Selective granting letters of authorization or inequitable offering of prices could expose IBM to business partner dissatisfaction or complaints of discrimination. In some countries, the end users require letters of authorization for participation in open tenders. Letters of authorization are letters from IBM to the end user which grant authority to a certain business partner to sell IBM products or services as well as specify the packaged number of years in warranty or post-sale support. For each open tender SBO selected for testing, request all issued letters of authorization to business partners. Test whether the letters of authorization were issued to all business partners listed in the special bid fact sheet as open tender participants and vice versa. Investigate any discrepancies.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 2. Contracts
Primary Test: Transaction Agreements (CA003.P)

Note: SOX control point 512 and supplemental testing guidance provided through the link in the reference section of the audit program.

Objective:
To determine if Transaction Agreements (TAs) were used inappropriately to circumvent the normal Business Partner Selection and/or contracting process, and to determine if appropriate records were in place to effectively monitor and control TA usage. In addition, determine that all entities known to IBM are screened against IBM's Denied Parties List (DPL), and that entities in countries of proliferation concern are also reviewed for indications of involvement in nuclear, chemical & biological, guided missile technology, and military activities prior to the sale and distribution of IBM hardware and software products to them.

A Marketing Assist Fee request can result in a TA. Review a sample that went through this process to ensure proper preapprovals and supporting documentation was obtained to validate the BPs engagement prior to approving the fee and issuing the TA.

Global business partner vetting requirements for relationships in a transaction agreement with a company that is not an approved business partner. You should ensure that this process is implemented in the geography that you are auditing. Business partner advisory instruction: BP09E Vetting Requirements for a Non-Authorized Company in a Reseller Transaction Agreement.

Review measurement package and the SOX compliance testing performed, including sample selection methodology, number of transactions tested, testing results, and findings and related action plans. Consider the results of the compliance testing during sample selection for the audit. Evaluate whether management's testing covers adequate risk in the process and local business environment.

Request a report, log, or other file comprising a record of all TAs authorized within audit period. Compare the list of TAs to the list of fulfilled Special bids, matching on customer name, to identify TAs that resulted in orders. Review a risk-based sample of the firm or individual names identified from this match. If the same firm or individual name appears for two or more separate TAs, it must be included in the sample. Determine what percentage, if any, of the samples were out of compliance with the following:

- Was each shipment supported by properly approved TA documents?
- Was there a Marketing Assist Fee associated with the TA?
    - If a sample is from the universe of fees associated with a TA, was the proper justification and supporting documentation obtained, validated and approved prior to issuing the TA?.
    - Did the fee payment universe contain Marketing Assist fees which bypassed the process and were not included in the TA universe?
    - Was the channel flipped from direct to indirect and if so appropriately recorded?

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 2. Contracts
Primary Test: Transaction Agreements (CA003.P)
(Continued)

- Did the TA contain the end user name?
    - If a sample is from a business entity with more than one TA was that information documented and taken into consideration by an authorized approver before the additional TAs were approved?
- Was the business entity on the TA properly vetted if not an existing business partner or one terminated for cause, i.e., DPL check, export checks?
- If the TA includes a price, was the price properly approved per transaction pricing delegated approval grids.
- Was work transacted against this contract performed only after contract acceptance? (A test can be constructed to identify all shipments, payments, or billings prior to the contract acceptance date.)
- Were there any side deals altering TA terms and conditions?

Determine that the business entity on the Transaction Agreement (TA) is checked against the Denied Parties List (DPL), and screening is performed for entities in “countries of proliferation concern,” as required in USERP Section 4 Parts 1 and 2.

- Written procedures are in place describing how and by whom DPL and proliferation screening (when required) is done.
- Sample testing confirms that all required screenings are correctly executed before a TA was approved.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 2. Contracts
Secondary Test: Other Special Contracts (CA004.S)

Objective:
To determine if the process for using other contracts available to Business Partners had been defined, documented, and followed, with emphasis on the monitoring of Partner compliance to the terms and conditions of any such contract used.

Approach:
Understand the varieties of contracts available to Business Partners beyond the normal Business Partner Agreement and its addenda. These contracts may include:

- Trade In
- Trade Up

This does not include Loaners / Trails and Demo machines.

Determine if there is a record kept of each use of such contracts (a log, report, or other kind of tracking file). If so, select a risk-based sample of the records transacted in a specified time period and test for compliance to the following:

- Did the deal meet all criteria that may been required by a specific offering? (For example, was equipment to be provided limited to a specific value or type)?
- If required by the offering, was a business case prepared and approved prior to the signing of the contract and the delivery of equipment?
- Were all required contractual signatures secured before delivery of any equipment?
- Did the contract language specify the equipment to be delivered and the duration of the contract?
- Where applicable, were both business partner and end user responsibilities identified, communicated, and documented?
- Was there a standard procedure for tracking the assets covered by such contracts (including monitoring of exceptions or granting of extensions requiring management review and approval)?
- If equipment ended up being purchased (by either a business partner or an end user) in accordance with the contract terms and conditions, was the price accurately calculated, billed, and collected in a timely manner?
- Were warranty provisions, if any, clearly communicated to all potentially affected parties?
- If the contract involved equipment returns, were transportation responsibilities and related financial arrangements communicated and documented?

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 2. Contracts
Primary Test: BP Compliance Reviews (CA005.P)

Objective:
To determine that approved actions that resulted from compliance reviews of special bid (SB) were executed, including the billing and collection of recoveries from business partners.

Approach:
Determine what type of reviews are being performed in the compliance audit for the channel or channels being audited. Request the results of these reviews and determine if appropriate action plans were put in place.

Compliance Review Measurements
Review management reports which track Compliance review results and restitution recovery status. For aged recoveries, review management actions to collect, resolve, such as suspending the partner from special bids or terminating the partner.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 2. Contracts
Secondary Test: Contracting and BP Database Updates (CA006.S)

Objective:
To determine if the process for updating master data sourced from contracts ensures accurate and prompt updating in any contracting databases. The input to these databases should be reviewed and approved.

Approach:
Understand how fulfillment and related functions confirm the existence of a proper contract, and, how they ensure the terms and conditions support the transaction. Worldwide all countries use PartnerPlus ISC BPCM app as contracting application. Run a report out of EPM to identify incorrect or untimely updates. In particular examine the data for multiple active contracts per relationship per business partner to determine if obsolete contracts are incorrectly in EPM as "active". Also, examine termination & reactivation of the same business partner within a short time frame.

Review measurement packages and the SOX compliance testing performed, including sample selection methodology, number of transactions tested, testing results, and findings and related actions plans. Consider the results of the compliance testing during sample selection for the audit. Evaluate whether management's testing covers adequate risk in the process and local business environment.

- Was the update properly supported and approved? (In some cases, the contract database might not have an approval function built in so there must be some type of control to ensure that updates are appropriate.) Obtain a copy of the source data for the sample and compare to the information contained in the database.

- Determine if updates were processed in a timely fashion.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 3. Disbursements

Objective:
To determine if process controls had been defined, documented, and followed for ensuring that disbursements to Business Partners were valid, accurate, authorized and paid in a timely manner. Also, to determine if the terms and conditions of any marketing development funds or programs had been documented and approved by authorized management.

Approach:
Understand the various programs under which business partners may earn additional margin, fees or become entitled to reimbursements. Determine if complete and accurate universes have been provided. Test related payments against the terms of the programs. Focus upon proper documentation of management authorization for all payments including those payments for business partners with nonstandard agreements. Determine if financial reconciliations, including duplicate payment checks, have occurred to identify discrepancies requiring resolution.

Risk/Exposure:
Failure to effectively control disbursements might allow unauthorized or undetected payments which could result in financial loss to IBM. Failure to establish and enforce the terms and conditions of incentive programs could result in claims of inequitable treatment of business partners, which might result in additional cost to IBM, legal issues, negatively impact business partner satisfaction and could impact revenue recognition.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 3. Disbursements
Primary Test: Incentive, Rebate, Promotion, and Investment Programs (DI001.P)

Note: SOX control points - BP Disbursements CP101, 102, 103, 104, 105 and 107, and supplemental testing guidance provided through the link in the reference section of the audit program, and reference CI Finance 101.

Objective:
To determine if a process had been defined, documented, and followed for ensuring that business partner offerings (which include Transaction Programs, Performance Programs, incentive programs and promotion disbursements or reimbursements were timely, accurate, and authorized.

All disbursement offerings (Transaction Programs, Performance Programs, Investment Programs and promotions) including contracts that result in business partner disbursements are reviewed and approved prior to announcement, for equitability, funding, legality, and ability to be efficiently administered (planning and approval). Prior to making a disbursement, the eligibility of the business partner, the accuracy of the data used to confirm performance against terms and conditions, and the attainment against objectives must be independently validated. The disbursement must then be properly approved, reconciled and post payment analysis for duplicate payments must be performed. Disbursements include both credit notes and payments.

Note: For co-marketing programs, there is a business partner model where the business partner performs the marketing activities, and the agency model where the business partner uses an agency to perform marketing activities. Testing of co-marketing is to include validation of event policy procedures and focus sampling on higher risk activities.

Quote to Cash (Q2C) is mainly utilized. There are some instances where eligibility validation and payment calculation may be done by the Ecosystem Management team for contracting, eligibility validation, payment calculation, claim validation, and payment processing (credit notes and checks payments).
Note: Test HW rebate validation against feature code (PID) instead of current process of validation using Product Division Code.

Approach:
Request process and program documentation from the audit client for all disbursement programs, fee contracts or promotions which are offered to business partners. Include programs that result in payments to business partners by non-BPM organizations (e.g., brands) and payments to second tier business partners who may not have business partner agreements with IBM. Understand DOUs or SLAs that may be in place with supporting functions or vendors. (For significant outsourced operations, use outsourcing management test CM001P: (Escalation Management and Concessions). Understand the methodology for calculating and approving disbursements or fees to be paid and what activities must be performed by the business partner in order to earn the disbursement or fee including any exception processes and that those guidelines are adhered to.

Review measurement package and the compliance testing performed, including sample selection methodology, number of transactions tested, testing results, and findings and related actions plans. Consider the results of the compliance testing during sample selection for the audit. Evaluate whether management's testing covers adequate risk in the process and local business environment.

- Was the program or promotion properly approved and announced timely? Specifically, was the program or promotion announced in a manor where it would drive business partner behavior instead of a compensation tactic at month or quarter end?

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 3. Disbursements
Primary Test: Incentive and Investment Programs (DI001.P)
(Continued)

- For investment funds, such as custom growth investments, ensure that they are not being used as a substitute or a kicker for the published incentive programs, nor to subsidize poorly performing business partners. They are designed to drive incremental revenue over and above business as usual revenue.

- Were all requirements of the addendum for the investment being followed (business plan created, dedicated resources committed, quarterly status provided, etc.)?

- For Z system incentives, payments may be calculated based on BP having selling resources dedicated to selling IBM Z product. Is there evidence of the number of resources and that they were properly factored into the calculation?

- For Z system incentives, payment for demonstrations may be part of the overall payment. If such payment was made, was there evidence of some kind of demonstration tracking provided?

- For fee payments, were the reasons for payments valid according to the terms and conditions and performance requirements of the relevant contract or program and did they follow the documented exception process, as required? (Note: Where such validations rely upon Partner-supplied data, determine what "reasonableness tests" the audit client uses. For example, does Partner-supplied data reflect higher quantities sold/installed than IBM records for that the business partner would seem to support? Do serial numbers supplied by the business partner appear to have been sold to another business partner or an end user)?

- For backend payments, were GOE end user transactions excluded where required?

- Was the accounting for the disbursement valid, i.e., was the accounting as revenue or expense supported by accounting guidance?

- Was the business partner fully qualified to participate in the program or promotion at the time of the payment or claim?

- Were claim submission requirements followed, including deadlines? Were documented approvals secured for exceptions and did they follow the documented exception process, if required?

- Were business partner claims independently validated, where required, before disbursements were paid? (Note: Determine what "reasonableness tests" the audit client uses. For example, does BP-supplied data reflect higher quantities sold/installed than IBM records would seem to support? Did claims exclude products sold under the special bid process? Were the claimed products eligible based on the program announcement? Do serial numbers supplied by the business partner appear to have been sold to another business partner or an end user?)

- For hardware trade-in promotions, was the trade in value calculated correctly? Was the trade-in hardware received and tie to the payment? If less than originally planned/contracted, was the BP or end user notified of the lesser amount?

- For Storage trade-ins where certificates of destruction are used in lieu of actual hardware, are the certificate dates recent? Has the same end-user been paid for a trade-in since the dates on the certificates? If so, validate that the same certificates were not used for multiple trade-ins.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 3. Disbursements
Primary Test: Incentive and Investment Programs (DI001.P)
(Continued)

- Were payments approved in accordance with Corporate Instruction, Finance 101 including adequate separation of duties (approval generally by a manager)?

- Were procedures in place to identify duplicate submissions, payments, or credits to the same business partner for the same activity? (Note: If back-up submitted includes references to specific products, is there a reasonableness test performed to ensure that the same serials or quantities have not been referenced more than once?)

- Were reconciliations performed to compare amounts processed to amounts approved?

- For VAD Hardware Rebates, did the BP switch VADs within the period noted in the program documentation? Is there tracking of such switches and reduction in value of the hardware sales commensurate with the program language (ex. If BP changes VAD, the new VAD does not receive revenue credit for those sales for 24 months).

- If payments were not calculated by Q2C, validate the source data provided to Q2C to make the disbursement (ex. A detailed calculation performed by the transformation team which sends a summarized flat file to Q2C for “mass upload”)

If periodic audits were required by a supporting vendor responsible for payment processing, were they performed and were the results satisfactory? (If any part of the disbursement process is vended, use outsourcing management test CM001P: Escalation Management and Concession).

- If the "soft dollar" program allocations are dependent upon revenue feeds, does the disbursement process include the review and approval of the feeds to ensure the integrity of the data? "Soft dollar" programs include Marketing Development Funds (MDF) and Business Development Funds (BDF) which are provided to business partners for use in demand generation activities or enablement, such as advertising, trade shows, and customer education and training.

- Determine if the period expenses/revenue reversal matched the same period as the corresponding revenue. If not, was an accrual made if required? (Depending on the criteria set by accounting, accruals under a certain dollar amount are not required.)

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 4 Escalation Management and Concessions

Objective:
To determine if a process for managing the resolution of escalations (including concessions) against (from or against) Business Partners had been defined, documented, and followed.

The scope of this question may include a review of the underlying reasons for any such escalations or concessions that have occurred. (For example, were they caused by improper business practices by either IBM or a business partner or were they related to failure to execute other processes correctly?)

Additionally, when an escalation resolution called for some form of restitution (for example, equipment or cash recoveries or related transactions), the scope of this question may include a review of the procedures for ensuring a proper financial accounting of the resolution and secure handling of any physical or monetary assets involved.

Approach:
Have the audit client present the procedures for responding to and resolving escalations. In addition, have the client present the process for concessions. Place focus on the following critical elements of risk:

- Actions taken to address inappropriate marketing practices (including recovery of assets, terminations, and final settlements).

- The recording of received escalations and/or concessions, the assignment of responsibility for resolution, followed by the documentation of resolution (including evidence of root-cause analysis to correct deficiencies and prevent additional occurrences).

Review samples considering the process presentation and determine if they were effectively resolved by use of the process.

Risk/Exposure:
Failure to effectively manage escalations and/or concessions could lead to business partner or end user dissatisfaction, could delay the identification and resolution of other potential exposures, and could lead to litigation, all of which could result in increased costs to IBM or damage to IBM's reputation. In addition, failure to properly control cash or other assets related to settlements increases not only the risk of loss, but also the detection of any such loss.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 4. Escalation Management and Concessions
Primary Test: Escalations/Concessions (CM001.P)

Note:
Global process for Escalation Management: https://w3.ibm.com/w3publisher/global-escalation-management

Global Process: Concessions https://w3.ibm.com/w3publisher/ibm-pricing/resources/concessions

Objective:
To determine if a process had been defined, documented, and followed for managing escalations and/or concessions involving business partners (from identification to closure). The escalations and/or concessions may be from or against business partners. In addition, where resolution of the escalation and/or concession includes payments from or to a business partner, to determine if these payments were properly controlled and include these in your disbursement test.

The scope of this question may include a review of the underlying reasons for any such escalations and/or concessions that have occurred. (For example, were they caused by improper business practices by either IBM or a business partner or were they related to failure to execute other processes correctly)? Additionally, when an escalation and/or concession resolution called for some form of restitution (for example, equipment or cash recoveries or related transactions), the scope of this question may include a review of the procedures for ensuring a proper financial accounting of the resolution and secure handling of any physical or monetary assets involved.

Approach:
Review and understand the processes for handling and managing escalations and concessions regarding business partners. For all significant issues, escalation records should be centrally filed and not left up to an individual sales representative to handle in isolation. (Ensure separation of duties.). Ensure that you examine both concessions and escalations.

Review measurement package and the compliance testing performed, including sample selection methodology, number of transactions tested, testing results, and findings and related actions plans. Consider the results of the compliance testing during sample selection for the audit. Evaluate whether management's testing covers adequate risk in the process and local business environment.

From the audit client's log or file of escalations involving business partners, review a risk-based sample of records recorded in the previous year. Determine what percentage, if any, were out of compliance with the following:

- Was an owner assigned to investigate and resolve each escalation?
- If the escalation was lodged by a specific individual, did IBM promptly acknowledge receipt of the escalation and communicate with that individual?
- Was the escalation reviewed by an impartial person or department in accordance with local procedures? Were separation of duties maintained?
- Was complete documentation maintained of actions taken to research and resolve the escalation?
- Were resulting recommended actions implemented?

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 4 Escalation Management / Concessions
Primary Test: Escalations and/or Concessions (CM001.P)
(Continued)

- Was root cause analysis performed, trending, and appropriate follow-up actions taken, to minimize the likelihood of similar escalation reoccurring?

- If resolution included settlement or release letters, were they approved by IBM Legal and filed? (For example, customer or business partner signature on a form or letter accepting IBM's proposed settlement as "full and final").

- Were there any escalations or concessions resulting from unauthorized commitments or side deals? If so, check Business Partner Compliance reports and was an investigation performed to verify the facts and was appropriate employee disciplinary actions taken? Was Internal Investigations notified if required (in the event of an allegation of a business conduct violation for an IBM employee)?

Note that many concessions do not follow the managed escalation process. However, the concessions should still adhere to the global concessions process. If the sampled escalations do not include concessions as part of the resolution, a concession sample should be selected.

- Did the concession follow the global concession process?
- Was the reason for the concession valid?
- Are there multiple concessions for the same contract or client?
- Concessions for issues associated with annuity business, such as cloud or software, may result in concessions each month to counter the monthly charge. Is this warranted? Is the concession amount growing? Is the concession being “rubber stamped” or is there appropriate due diligence with each concession?

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 5. Separation of Duties

Objective:
To determine if responsibilities were segregated there´s no risk of loss of assets due to a combination of critical tasks.

Approach:
Determine how the audit client believes process duties have been consciously separated and analyze on conflicts and how they are mitigated / managed.

Risk/Exposure:
Inadequate separation of duties and/or failure to eliminate or mitigate risks associated with separation of duties conflicts could allow personnel to misuse or divert company assets or perpetrate fraud without deterrence or timely detection.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 5. Separation of Duties
Primary Test: Separation of Duties (SO001.P)

Note: Financial Reporting control point KCFR026 and supplemental testing guidance provided through the link in the reference section of the audit program.

Objective:
To determine if responsibilities were segregated such there is no risk of loss of assets due to a combination of critical tasks:

- Separation of Duties (SOD) - There are controls in place which ensure that the SOD Assessment Spreadsheet is used to prepare a current and complete SOD assessment which covers all roles and all tasks. In addition, the controls should ensure any SOD conflicts are brought to management attention for resolution.

- SOD Assessment Considerations: Business process tasks and related access which, when combined, create a conflict of duty should be assigned to different role.

Generally, four categories of tasks should be separated:

1. Authorization is the process of reviewing and approving transactions, documents, or operations.
2. Custody is the possession or guardianship over any physical assets such as cash, checks, inventory, equipment, supplies or materials.
3. Recording is the process of creating or maintaining records of revenues, expenditures, inventories, personnel records or other transactions which impact IBM's financial statements.
4. Verification demonstrates that the processing or recording of transactions is complete and accurate.

Requirements: Process owners are responsible for maintaining adequate separation of duties within their processes (assessments must be presented at geo level):

- The end-to-end process must be reviewed at least annually to identify the tasks which, when combined, could result in a loss or misuse of IBM assets or allow fraud to be perpetrated. The analysis should be done at the appropriate level (geo level) taking into account country variations or other factors which impact the SOD assessment.

- Identified conflicts should be assessed for SOD risk and a determination should be made as to which conflicting tasks should be separated. Conflicts may be eliminated, mitigated, or accepted based on risk severity.

- The approach to separating duties, whether by process design, system controls, organizational structure, or other means should be established and maintained on an on-going basis.

- As a result of the SOD risk assessment, any conflicting tasks identified which should be separated but are not, need to have effective secondary controls in place to mitigate the risk.

- The completed process SOD assessment and documentation must be approved by the process owner or appropriate delegate. SOD assessments should be kept current and should be updated when organization, staffing assignments, process or system changes occur which are significant enough to impact the current SOD assessment.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 5. Separation of Duties
Primary Test: Separation of Duties (SO001.P)
(Continued)

Approach:
Obtain an organization chart or use IBM people on W3 to determine if all roles in the organization are accurately reflected on the SOD assessment. Ensure that back up responsibilities are listed as well.

If there are conflicts identified, ensure that adequate secondary controls are identified. Depending upon the risk associated with the conflict, perform additional testing to ensure the secondary controls are being performed.

Ensure that there is evidence that management reviewed and approved the assessment and that it is current.

Review measurement package and the compliance testing performed, including sample selection methodology, number of transactions tested, testing results, and findings and related actions plans. Consider the results of the compliance testing during sample selection for the audit. Evaluate whether management's testing covers adequate risk in the process and local business environment.

Fin183 "Separation of Duties" has been sunset and replaced with Fin182 - Management Self-Assessment of Control Appendix C - Separation of Duties, which is principle-based and focuses on completing a risk-based SOD assessment, establishing a process to ensure on-going separation of conflicting tasks, and implementing controls to mitigate conflicts.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 6. Revenue Recognition

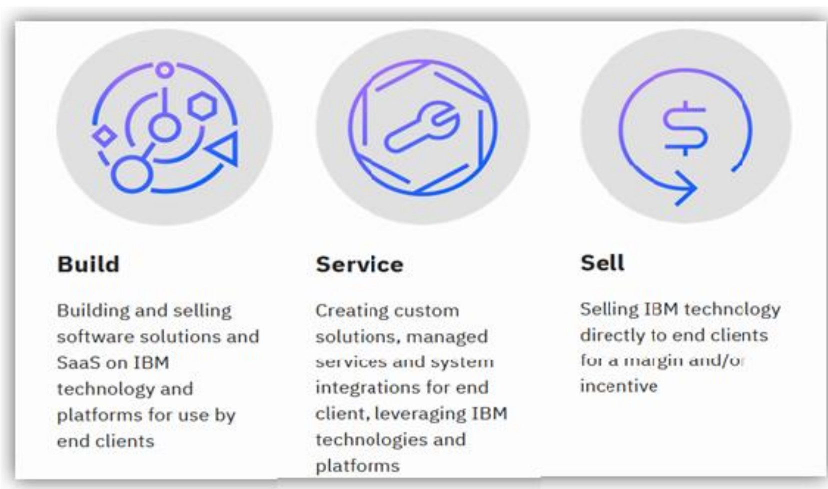
Objective:
To determine if there is an effective management process to ensure that all business partner revenue is recognized in accordance with generally accepted accounting principles, IBM practices and Corporate/local instructions.

To determine if there is any evidence of improper practices in the recording of activity for which revenue has been recognized.

Risk/Exposure:
Inaccurate revenue reporting could have a significant impact upon the integrity of the IBM financial statements.

The revenue achievement for business partner performance targets, or for commission targets for IBM Sales Representatives may be overstated resulting unearned disbursements to business partners or unearned commission payments to Sales Representatives

Appropriate Channel Codes for Sell, Build and Services



CONTROL ASSESSMENT QUESTIONS
Key Control Question: 6. Revenue Recognition and Cost Recognition (Continued)

00 - Channel Code	00 - Compliance Code	00 - Full Description	00 - Medium Description	Ecosystems Sales Motion	Description
F	6F	Fee Based	Fee Based	Ecosystems Sell	This channel represents transactions which are fulfilled by IBM in which third party external organizations provide significant sales support on a fee basis. It may include Reseller or System Integrators when authorized on a fee basis on their Business Partner Agreement. For TSS (Division 48) see guidance in green. For IBM Consulting see guidance in red. For Middle East and Saudia Arabia see guidance in blue.
G	6G	Solution Provider	Solution Provider	Ecosystems Sell	This channel represents sales to / by a company who takes title to IBM products and resells them directly to end users, providing complete or value-added solutions to these customers. While these companies may market IBM products, their primary focus is on delivering overall business solutions and substantial services to their customers. Solution providers are categorized by many names in the industry, including value-added resellers and network integrators. For Middle East and Saudia Arabia see guidance in blue.
H	6H	Reseller	Reseller	Ecosystems Sell	This channel includes sales to companies who sell specific products in large volumes to end-users without added value. Their relationship with IBM is predominantly a remarketing relationship. For Middle East and Saudia Arabia see guidance in blue.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 6. Revenue Recognition and Cost Recognition (Continued)

00 - Channel Code	**00 - Compliance Code**	**00 - Full Description**	**00 - Medium Description**	**Ecosystems Sales Motion**	**Description**
I	6I	Sales Agent	Sales Agent	Ecosystems Sell	This channel represents third party external sales organizations/affiliates which act as a specialized primary sales leader in an assigned territory or account(s) on a fee or commission basis under a Sales Agent Relationship Document (Z131-2109)
J	6J	Distributor	Distributor	Ecosystems Sell	This channel represents companies that have built their businesses around distribution competency and have a Distributor Relationship Document (Z131-2105). These Distributors sell to Tier 2 Business Partners that in turn sell to end-users. This includes both value-added distributors who provide in-depth technical and marketing support, and volume distributors who focus on immediate availability of a broad range of products. For Middle East and Saudia Arabia see guidance in blue.
K	6K	SW ESA-Embedded Solution Agreement	SW ESA-Embed Sol Agr	Ecosystems Build	This is the contract model within Channels in which an ESA Partner (eg. Tech Broker or a Tech Partner) acquires SW licenses, or XaaS, integrates the IBM products into their own offerings/solutions/service, and delivers their branded solution/service to their end client. The Tech Partner holds entitlement of the IBM license and provides L1/L2 support to their clients for SW and L1 for XaaS. For HW see Channel code Q (within service motion).

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 6. Revenue Recognition
(Continued)

00 - Channel Code	00 - Compliance Code	00 - Full Description	00 - Medium Description	Ecosystems Sales Motion	Description
M	6M	Managed Service Outsourcing / Hosting	Mngd Svc Outsrc/Host	Ecosystems Service	Managed Service Outsourcing / Hosting BP acquires IBM SW (excluding zMLC), XaaS or Systems Hardware products for the purpose of managing their clients' operations for a service charge. BP maintains entitlement and control of the IBM offerings to provide the services (e.g., network services, environmental and infrastructure security, backup and restore, service/helpdesk, Systems Integration and Consulting, migration, Implementation, or other services around the IBM offering). Application or IP Services value-add is not required. The IBM licenced product is configured into an offering that is hosted and managed for the end customer in the Service Provider's data center, <u>outside of the Service Provider's defined enterprise</u> or end customer's data center and controlled by the Service Provider.
6O	6O	Memo Line WWconsol: Ecosystems Sell Motion & Other Partners	Sell+Partners	Ecosystems Sell	MEMO LINE FOR MEASUREMENT PURPOSES ONLY In WWConsol/SWGRev, actuals are Ecosystems Sell Motion & Other Partners.
6P	6P	Memo Line WWconsol: Ecosystems Service Motion & GSI Partners	Service+GSI	Ecosystems Service	MEMO LINE FOR MEASUREMENT PURPOSES ONLY In WWConsol/SWGRev, actuals are Ecosystems Service Motion & GSI Partners (Global System Integrators).

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 6. Revenue Recognition
(Continued)

00 - Channel Code	00 - Compliance Code	00 - Full Description	00 - Medium Description	Ecosystems Sales Motion	Description
Q	6Q	HW ESA-Embedded Solution Agreement	HW ESA-Embed Sol Agr	Ecosystems Service	This channel indicator should be used when a BP acquires Infrastructure Hardware or TSS offerings directly from IBM or via a Distributor under the Embedded Solution Agreement terms for the purpose of integrating with their own value-add to build and market their own solutions, services or applications. This contract type (ESA) can also be used for Managed Hosting situations. Solutions that qualify combine IBM products &/or Services and the Business Partner's IP / Value Add that create a commercially available Business Partner branded solution which is distinct from the IBM products/services. The ESA Partner provides the L1/L2 support to the client for HW / Services. For SW and XaaS see Channel K.
6W	6W	Memo Line WWconsol: Ecosystems Build Motion & ISV	Build+ISV	Ecosystems Build	MEMO LINE FOR MEASUREMENT PURPOSES ONLY In WWConsol/SWGRev, actuals are Ecosystems Build Motion & ISVs (Independent Software Vendors).

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 6. Revenue Recognition
(Continued)

00 - Channel Code	**00 - Compliance Code**	**00 - Full Description**	**00 - Medium Description**	**Ecosystems Sales Motion**	**Description**
X	6X	Closed Contract - Subcontract (BP) and IBM Third Party Cloud Marketplace (BP) and Distributor as a Prime Contractor (BP)	Subcontractor	Ecosystems Sell	This channel represents a Business Partner engagement model where the Business Partner and IBM have concluded that our mutual interest are best served by jointly selling and jointly delivering services solutions to IBM's end user client(s). In this engagement model, IBM is the Prime Contractor, and the Business Partner is a minimum 15% subcontractor (BP content of hardware, software, hardware maintenance, and software support and subscription are not eligible to meet the 15% subcontractor requirement). For C&CS Software and Public Cloud see guidance in blue. For TSS (Division 48) see guidance in green.
Y	6Y	Prime Contractor	Prime Contractor	Ecosystems Sell	This channel represents a Business Partner engagement model where the Business Partner and IBM have concluded that our mutual interest are best served by jointly selling and jointly delivering services solutions to the Business Partner's end user client(s). Services delivery can be one-to-one to a single known end customer or one-to-many in the XaaS model where the final end customers are unknown to IBM. In this particular channel model, it has been decided that the Business Partner will be the Prime Contractor, and that IBM will be a services delivery subcontractor to the Business Partner. For TSS (Division 48) see guidance in green.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 6. Revenue Recognition
(Continued)

Channel	Sales Motion	Name	Description
K	Build	Embedded Solutions (non-z platform)	IBM non-z software being combined with the partner's IP (product, application, or device) to create a specific solution. The End User in this case would receive a license and end user terms from the Solution Provider IBM has sold to. End Users here can run, control, and / or maintain the embedded Solution Provider's offering. IBM licensing terms to the Solution Provider limit entitlement accordingly, and do not permit re-selling of the IBM technology; End Users never have any form of IBM technology entitlement.
K	Build	Managed Service Solution aka "Managed Services under ELA with SPA attachment" or "SPA K"	Also IBM non-z technology which is being used as part of a managed service offering outside of the Service Provider's defined enterprise that is a repeatable, branded offering from the Managed Services Provider. As with the Embedded Solutions situation, material value add from the Managed Services Provider is required. The End User receives a services agreement from the Managed Services Provider, and benefits from the services, but does not run or control IBM content. IBM licensing terms to the Managed Services Provider limit entitlement accordingly, and do not permit re-selling of the IBM technology; End Users never have any form of IBM technology entitlement.
M	Service	Managed Service Outsourcing / Hosting (software)	IBM non-z software is configured into an offering that is hosted and managed for End Users in the Service Provider's (i.e., IBM's sell-to) data center, outside of the Service Provider's defined enterprise, or in the End User's data center but controlled by the Service Provider. The Service Provider provides infrastructure, network support, environmental and infrastructure security, backup and restore, other ISV software, service / helpdesk, but does not add material value to the IBM technology itself. Rather than providing a unique solution, here the Service Provider is offering a use case to it's customer base. Contractually, this is documented in a Service Provider Attachment (SPA), and flows to Channel M.
M	Service	Managed Hosting (hardware)	This situation is similar to that described above for software, whereby IBM z, Power, or Storage hardware is purchased for purposes of hosting services to End Users. This is documented by one of two methods. **First**, the partner may contract using a Business Partner Agreement and indicate to IBM upon placing their order that the hardware is to be used for managed hosting purposes. Ordering processes have been augmented to capture this information (see sample attached). This flows to Channel M.
Q	Service	Managed Hosting (hardware)	**Second**, the partner may contract using an ESA contract. This flows to Channel Q

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 6. Revenue Recognition
Primary Test: Revenue Recognition (RR001.P)

Note: There are the following control points to support valid revenue recognition that have been implemented: SOX KCFR141 (Closed Out ESA Contracts), 411 (revenue recognition and 416 (BP Gross vs Net accrual Analysis) Supplemental testing guidance is provided through the link in the reference section of the audit program.

Objective:
To determine if an effective process exists to verify that revenue and costs are recognized accurately and in accordance with generally accepted accounting principles and IBM practices, in the appropriate period.

Revenue Recognition - There are many supporting processes in Customer Fulfillment (CF) to ensure revenue is valid.

Approach:
Review measurement package and the compliance testing performed, including sample selection methodology, number of transactions tested, testing results, and findings and related actions plans. Consider the results of the compliance testing during sample selection for the audit. Evaluate whether management's testing covers adequate risk in the process and local business environment.

- It is key that the revenue recognition rules relevant to the contract and products, or services being reviewed are understood. See the references section of this document for applicable accounting instructions and practices. (Accounting Practice 32 for BPs)

- Perform a process control interview with the appropriate accounting management and verify the current revenue recognition methodology.

- Review monthly revenue ledger entries to confirm methodology and ensure revenue is recorded in accordance with accounting practices.

- Select a sample of Business Partner (BP) transactions, including coverage of each BP type and revenue category (hardware, software, and services). There is a need to understand Firm Order Policy (FOP) for different brand transactions and different BP relationships because of how the relationship may impact revenue recognition. Considerations in the selections of samples should include high risk transactions in the following areas:

  In each of these areas, you are looking for deviations from the standard process. This may be indicative of an unauthorized commitment and therefore invalid revenue recognition.
    - Quarter end shipments and late shipments (accrued revenue) and shipped not billed.
    - Billed not installed orders. Transactions requiring management approval.
    - Orders that exceeded credit limits. Accounts Receivable – delinquencies, write offs, disputes: In this area you should review item remarks and other supporting documentation to determine if there was an authorized commitment that caused the BP to not pay.
    - Determine if revenue was reversed according to guidelines for invoices that are not collected after a certain time period. Claims (This is an area where exceptions will be found that can indicate invalid revenue recognition, i.e., contingencies were made without appropriate approval. A thorough review of claims should be performed to ensure these had appropriate approval and resolution. Side deals should be referred to internal audit for investigation.)

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 6. Revenue Recognition
Primary Test: Revenue Recognition (RR001.P)
(Continued)

- Escalation - Review escalation documentation to ensure an unauthorized commitment was not the cause of the escalation Third Party Compliance review: Review the findings supporting the issues identified in ACRB reviews to determine if unauthorized commitments were part of the issue.
- Determine if revenue was appropriately analyzed and reversed if appropriate.
- If customer care calls are conducted, review calls made to customers to support customer satisfaction, and any exceptions identified.
- Identified side commitments: Situations where a customer representative or other IBM employee has made an unauthorized commitment to a business partner which is not in their delegation.
- Listing of uninstalled machines: Review non-CSU machines and test to determine whether these indicate excess channel capacity if orders were placed prematurely without a firm end customer need at the time of order. Future Billing Adjustment (FBA) and Installation Revenue Deferral (IRD) provisions could be applicable. See attached link on provisions (refer to Jun / 11 Hardware Provisions – FBA Installation Deferral. **https://w3.ibm.com/w3publisher/hsw/academy**

- Verify that there is a process to report revenue that was not properly recognized to the appropriate HQ Accounting organization and that management has visibility to this activity. Determine if there is evidence that root cause analysis is performed and that corrective actions are taken as appropriate.

- Obtain a listing of BPs who have exceed their credit limit. Determine if the order(s) that caused the BP to exceed their credit limit were properly approved by IGF. (Depending upon the IGF/CF credit management country process and systems, this may be allowed. What you are trying to determine is part of the firm order management process, was the available credit assessed before shipment.). If these orders were not approved, collectability of receivables cannot be assured. Recognition of revenue requires that collection is reasonably assured. Collection is not assured for revenue recognition purposes when IBM Credit has not reviewed and approved transactions where credit exceeded the credit limits of customers at inception of the transactions. Validate if evidence existed that management analyzed the collectability of the credit limit exceptions during the accounting close to determine if a revenue reversal was required.

- Select a sample of revenue reversal and marketing expense ledger entries for BP activity. Review the source documents including the related BP contracts as well as nonstandard contracts and test to ensure that activities were properly recorded as follows:
    - Discounts made to BP's based on the achievement of specific volume or revenue objectives with no stated or implied requirement as to how the discounts were to be spent should have been recorded as revenue reversals.
    - Payments made to BPs, or which is based on the performance of promotional or business development activity as stated or implied in the marketing plan, business development plan, or promotional program, (identified collectively as 'Directed Spending') should have been recorded as marketing expense.
    - Controls should be established to ensure that there are valid business reasons for transactions that were originally negotiated as a direct sale to an end-user customer where the final order comes from the Business Partner who will subsequently sell the product to the same end-user customer contemplated in the direct sale (i.e., IBM "flips" the sale from an end-user customer to a Business Partner).

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 6. Revenue Recognition
Primary Test: Revenue Recognition (RR001.P)
(Continued)

- Consideration should also be given to flips within the Business Partner channel (e.g., flips to a Business Partner distributor from a Business Partner providing value-add services). When evaluating such transactions, specific focus should be given to flips at the end of a reporting period and should consider as evidence of an appropriate business reason for the change, at a minimum:

Flips could take place to protect IBM Terms and Conditions. If so, a process to handle these transactions should be in place. If a valid business reason for the change cannot be supported, revenue should be deferred until the product is delivered to the end-user customer and all other revenue recognition criteria are met in accordance with AP 9. Instances in which revenue is not deferred should be reviewed by the appropriate Director of Accounting Operations.

- Concessions (write-offs/expenses), rather than revenue reversals (or reductions), were recorded for instances in which IBM met its contractual obligation to the customer but decided that a credit to the customer was required in the interest of customer relations.

- Were accounting guidelines properly adhered to with regard to revenue reversals versus expensing a transaction?

- In the case of deviations identified within revenue recognition, verify the validity of related commission payments and bonuses.

Verify the following elements were present for each of the samples selected:

<u>For Hardware/Software Revenue</u>
- A valid contract was signed; and a firm order exists.
- There was fixed or determinable sales price (price cannot be variable based on a future event such as the BP's ability to resell.
- For contracts with a cancellation clause, revenue should not be recognized until after the cancellation period has expired).
- The BP or customer has an obligation to pay for the products which is not contingent upon the occurrence of other events.
- Products were shipped to an end user customer's or remarketer's site or a site the customer or remarketer requested (delivery has occurred).
- Hardware installation occurred within the current guidelines
- IBM has no significant further obligations concerning the sale to the end user customer or BP.
- Collection was reasonably assured*.

<u>For Services Revenue</u>
- Valid contract was signed, and a firm customer order existed with scope of work defined.
- There was a fixed or determinable sales price.
- Evidence that services were rendered exists.
- The BP or customer had an obligation to pay for the services which is not contingent upon the occurrence of other events.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 6. Revenue Recognition
Primary Test: Revenue Recognition (RR001.P)
(Continued)

- IBM has not further significant obligations to the end user customer or BP.
- Collection was reasonably assured*.

  * NOTE: Collectability is not considered probable if a fee allocated to delivered elements is subject to forfeiture, refund, or other concessions.

For Service BPs, validate parts ordered by the BP can be used with machines owned by the end user. There may be multiple BPs whereby one BP sells the machines, but another BP fulfills services to those machines. In addition, review multiple parts usage, whereby one BP ordered many parts for one machine. Validate these parts can be used to repair the machines that were reported as needing repair. BPs ordering many parts could be a sign of the BP building their own inventory.

Also, test the sample to determine if:

- All the criteria for revenue recognition were not met for products that shipped, was the revenue reversed in a timely manner?
- Revenue was reduced for such items as sales returns, discounts, (cash, trade-ins, allowances under authorized programs, etc.), credits, billing adjustments, and rebates, as well as for instances which lack reasonable assurance of end user customer or BP payment?
- Any equipment returned was authorized by the contract, and accounting provisions were taken to properly estimate the impact to revenue for the return provision.
- Revenue was recorded based on any verbal or written agreements outside the terms of the contract or agreement (side deals/letters)?
- Guidelines were met for the recognition of revenue when the customer requested delayed installation (i.e., IBM CE installation later than the second month after shipment). These revenue recognition guidelines are:
  a) The customer had paid for the product IN FULL
  b) An agreement existed for the transfer of title
  c) The customer accepted full responsibility for the storage of the equipment
  d) The appropriate director of accounting approved the transaction

- Guidelines were met for the recognition of revenue when the customer requested DELAYED SHIPMENT from a consolidation center. These guidelines are:
  a) Criteria as listed under #6 a-d above
  b) Goods were complete and on-hand (at the IBM consolidation facility)
  c) Goods were identified and reserved for the customer
  d) Goods were ready for customer shipment
  e) For hardware, were billings rendered upon installation to ensure revenue recognition in the right period.

- Appropriate accruals were made (for example for shipped but uninstalled equipment) and then reversed in the following accounting period or when appropriate.

- When deviations within revenue recognition were identified, the validity of related commission payments and bonuses were verified and adjusted.

Additional initiative improvements in ESA processes that should be tested. For the latest level of completion, reach out to CA&AS Internal Audit Manager, North America. Specifically review if the ESA contract ended, was the Royality Reconciliation process followed.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 6. Revenue Recognition
Primary Test: Revenue Recognition (RR001.P)
(Continued)

ESA Process Improvement

Initiative	Description	Complete	In Process	Expected Completion Date
ESA Online Onboarding Process	Partner Plus registration required ESA Relationship applied via online application page within PPS ESA Base and Attachments are auto generated and sent to BP via eSign	✓		
ESA Solution Review and TD Contracting Process	Revisit and make the existing ESA Process Guides for each brand up-to-date, mainly focusing on value-add solution review, approval and contract process, including amendment process against the existing contracts		✓	HW: Done SW: 31 Dec 2023
ESA Enrollment Form Management Process	Define a management process for SW EF renewal, expiration and termination		✓	31 Mar 2024
ESA SW Transaction Document Management Process	Define a management process for SW TD extension, renewal and expiration	✓		
ESA Solution Approval Matrix – Management Process	Improve management system on ESA solution approval matrix to make timely updates and to control the right level of access	✓		
ESA Purchase Commitment Reconciliation Process	Refine the current process guide to ensure each ESA BP has met their pre-agreed purchase commitment to their approved solutions prior to expiration of the contracts		✓	31 Mar 2024
ESA BP's Merger & Acquisition Process	Define how to manage/transfer base agreement and transaction document for ESA BP's Merger & Acquisition		✓	30 Jun 2024
ESA SW License Transfer Process	Revisit the existing process guide and approval matrix for an ESA BP to request specified license entitlements be moved from Source Site to ESA BP site (Target Site)		✓	29 Feb 2024
ESA SW Delegated Pricing Management	Revisit ESA Tech Broker delegated pricing guides and discount grids	✓		
~~ESA HW Delegated Pricing Renewal~~	Consolidate the existing outdated pricing guides that used to be managed by each Geo/Market level into one global standardized exhibit	✓		
ESA Build Communication Strategy	Develop ESA Build comms strategy to consolidate scattered tools globally and to deliver consistent BP messages on ESA program & process updates	✓		
ESA Tech Broker Cloud Services Termination Request Process	Revisit TB termination request process to provide guidance on the requirements and process steps necessary to submit a request to IBM to terminate an Enrollment Form for IBM Cloud Services for an ESA-BP		✓	31 Mar 2024
Orphaned ESA BP due to ESA TB Termination	Define a WW process on when ESA Tech Broker 'A' is to be terminated, how to transfer aligned ESA BP's approved value-add solutions and SBA over to a new ESA Tech Broker 'B'.		✓	31 Mar 2024

ESA Project – Business Improvements

Initiative	Description	Complete	In Process
Active contracts migration to Engage Support	Migrate legacy ESA solution contracts that have been signed prior to Engage Support deployment	✓	
Expired EF follow up communication with BP	Develop and issue amendment to extended EF that had expired in the past	✓	
Consolidated ESA contracts DB – IBM Terms	Define ESA contracts (including base, attachment and solution contracts) management process using IBM Terms as a WW consolidated repository	✓	
Legacy ASL & ESA Tech Partners migration to Partner Plus	Migrate legacy ESA base agreements that have been signed outside of PPS to Partner Plus 700+ contracts migrated	✓	